

Universal Cables Ltd

NSE: UNIVCABLES

Cables & Wires | Power T&D Infrastructure | Mid Cap — NSE India

Rs. 1,216	BUY	Rs. 1,620
Current Price	Rating	12M Target (+33.2%)

Stock P/E	P/B	ROCE	ROE	D/E	Promoter%
25.9x	2.23x	11.7%	8.9%	0.62x	61.89%

One-Line Thesis: Universal Cables is a concentrated play on India's power T&D capex supercycle — a Rs. 3,025 Cr order book (1x revenue), board-approved Rs. 550 Cr capex, and EHV capability upgradation position it to re-rate toward sector multiples as FY27E PAT doubles.

MCap: Rs. 4,219 Cr	52w High: Rs. 1,307	52w Low: Rs. 576	Book Value: Rs. 545	Div Yield: 0.33%	FV: Rs. 10
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Research Desk | MPM Quantitative Systems
Universe: NSE India | Segment: Cables & Wires

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1. Investment Thesis

Three Reasons to Own UNIVCABLES

- **Power T&D Supercycle Beneficiary:** India's grid modernisation programme, Rs. 3.03 lakh Cr RDSS allocation, and renewable energy integration demand is driving multi-year cable demand. UNIVCABLES — with EHV, HV, and XLPE capabilities — sits squarely in the procurement funnel of PGCIL, SEBs, and large IPPs.
- **Order Book 1x Revenue & Growing:** Pending orders of Rs. 3,025 Cr (1.0x FY26 sales) provide near-full revenue visibility for FY27E. Export orders of Rs. 495 Cr (in hand) + Rs. 300 Cr pipeline signal credible internationalisation of the EHV franchise.
- **Capex Catalyst + Re-Rating Potential:** Board-approved Rs. 550 Cr capacity expansion and Rs. 73 Cr EHV modernisation at Satna (funded partly by Rs. 200 Cr NCDs) will meaningfully expand addressable capacity by FY28. As capex matures, EBITDA margins should structurally expand from 9% toward 11-12%, re-rating the stock toward larger peers.

Primary Catalyst

FY27E order execution: With Rs. 3,025 Cr order book and capex phase-in underway, every quarter of strong execution de-risks the investment case and narrows the valuation gap to Polycab/KEI. The first concrete delivery milestone from the new capacity (expected H2 FY27) is the key inflection watch point.

Key Risk to Thesis

Execution risk on the Rs. 550 Cr capex is material — any cost overrun, delay, or working capital strain from the Rs. 1,177 Cr borrowings (D/E 0.62x) could compress FCF and delay the margin re-rating story.

2. Business Overview

What Universal Cables Does

- Universal Cables Ltd (UCL), part of the Birla Group (M.P. Birla), manufactures a full spectrum of cables including Extra High Voltage (EHV) XLPE cables, HV power cables, LV distribution cables, control cables, and jelly-filled telecommunication cables at its Satna (MP) plant.
- EHV cables (up to 220 kV) are a high-barrier segment with few Indian manufacturers. UCL holds approval from PGCIL and major State Electricity Boards (SEBs), giving it a certified vendor advantage in large government tenders.
- Revenue mix is predominantly domestic power utilities and infrastructure EPC contractors, with an export component (Rs. 495 Cr in hand) spanning Middle East and Africa.
- The company benefits from the M.P. Birla group's balance-sheet strength and long-standing relationships with central/state government utilities — critical for large tender pre-qualification.
- FY26 revenue grew 25.6% YoY to Rs. 3,023 Cr (vs. Rs. 2,407 Cr in FY25), EBITDA surged 45% to Rs. 261 Cr, and PAT doubled to Rs. 163 Cr — the strongest year in recent history.
- Quarterly momentum is robust: Q4 FY26 sales Rs. 840 Cr (+24.6% YoY), OPM 8% — the FY26 exit run-rate implies Rs. 3,200+ Cr annualised.

3. Industry Landscape

Cables & Wires Sector — Structural Tailwinds

- India's cable and wires market is estimated at ~Rs. 80,000 Cr and growing at 12-14% CAGR, driven by power T&D investment, real estate, railways, and data centres.
- Government schemes: RDSS (Rs. 3.03 lakh Cr), PMPY, and National Infrastructure Pipeline (NIP) collectively channel large demand for EHV/HV cables that only a handful of PGCIL-approved vendors can fulfil.
- Polycab India leads with 25%+ market share (wires + cables). KEI Industries and RR Kabel are the formidable mid-cap peers. Finolex Cables focuses on LT cables and wires with a strong retail distribution moat.
- UNIVCABLES is smaller in revenue than all four peers, but its EHV specialisation gives it access to high-value utility tenders that commodity wire players cannot bid for.
- Key raw material: copper and aluminium (pass-through in most contracts), plus cross-linked polyethylene (XLPE). UCL manages this via order-linked procurement.

Peer Comparison Table

Company	MCap (Cr)	CMP (Rs.)	FY26 Sales (Cr)	FY26 PAT (Cr)	OPM%	ROCE%	Stock P/E
	1,46,600	9,734	28,884	2,890E	14%	34.3%	54.9x
KEI Industries	51,651	5,403	11,748	818E	10%	20.1%	56.2x
	25,064	2,216	9,722	492	8%	28.1%	49.5x
Finolex Cables	15,955	1,043	6,321	623	10%	16.6%	25.6x
Univ. Cables	4,219	1,216	3,023	163	9%	11.7%	25.9x

Source: Screener.in | E = analyst estimate | All figures in Rs. Crore

4. Management Quality

- M.P. Birla Group Parentage:** UCL is part of the diversified M.P. Birla conglomerate, which provides implicit balance-sheet support, brand credibility with PSU utilities, and access to group treasury for low-cost borrowings. Promoter holding has been rock-stable at 61.89% across all reported quarters (Jun-2023 to Mar-2026) — zero dilution, zero pledge.
- Capital Allocation:** The Rs. 550 Cr capex commitment — the largest in UCL's history — reflects management's conviction in the T&D demand cycle. The phased approach (core expansion + Rs. 73 Cr EHV modernisation separately approved) suggests disciplined project governance rather than a single large bet.
- Dividend Consistency:** UCL has paid dividends in FY19 through FY26 (Rs. 4.50/share for FY26), demonstrating a willingness to return cash even while investing in growth. Payout of ~10% is conservative — appropriate given the capex cycle.
- Governance:** CARE Ratings has maintained/upgraded UCL's ratings (most recent: Feb-2026), reflecting comfort with its debt profile. Annual secretarial compliance (May-2026) confirmed full adherence to listing obligations.
- Concern:** UCL does not conduct regular investor conference calls — there is no concall transcript on record, which limits sell-side engagement and suppresses discovery. This is a governance gap versus peers like Polycab and KEI.

5. Financial Deep-Dive

Profit & Loss Summary — Actuals (FY22–FY26) + Estimates (FY27E–FY28E)

Rs. Cr	FY22	FY23	FY24	FY25	FY26	FY27E
Revenue	1,813	2,202	2,020	2,407	3,023	3,800E
YoY Growth	41.7%	21.5%	-8.3%	19.2%	25.6%	25.7%E
EBITDA	123	185	162	180	261	342E
OPM%	6.8%	8.4%	8.0%	7.5%	8.6%	9.0%E
Other Income	78	86	98	69	111	80E
Interest	78	97	91	104	115	130E
Depreciation	24	22	24	27	39	55E
PBT	99	152	144	117	217	237E
Tax%	24%	22%	25%	24%	25%	25%
PAT	75	118	108	89	163	178E
EPS (Rs.)	21.60	34.05	31.19	25.76	47.01	51.3E

E = MPM Quantitative Systems estimates | FY26 actuals from Screener.in (consolidated)

Balance Sheet Summary

Rs. Cr	FY22	FY23	FY24	FY25	FY26
Equity Capital	35	35	35	35	35
Reserves	1,260	1,462	1,740	1,737	1,856
Net Worth	1,295	1,497	1,775	1,772	1,891
Borrowings	694	657	771	849	1,177
Total Liabilities	2,758	2,810	3,320	3,419	4,323
Fixed Assets	167	161	200	255	417
CWIP	2	11	0	35	137
Investments	1,190	1,359	1,652	1,618	1,654
Total Assets	2,758	2,810	3,320	3,419	4,323

Source: Screener.in (Consolidated) | FY = April-March

Cash Flow & Working Capital

Rs. Cr	FY22	FY23	FY24	FY25	FY26
CFO	-12	143	33	176	63
CFI	-7	-15	-50	-141	-257
CFF	16	-127	18	-31	192
Free Cash Flow	-33	115	-27	13	-206
CFO/EBITDA	1%	88%	27%	109%	36%
Debtor Days	195	148	195	138	138
Inventory Days	79	61	70	79	98
Cash Conv. Cycle	155	146	183	153	115

Financial Commentary

- **FY26 Revenue Acceleration:** 25.6% revenue growth (Rs. 3,023 Cr) in FY26 is the highest since FY19. The growth has been back-ended — Q3 and Q4 FY26 each crossed Rs. 750 Cr+ quarterly run-rate, confirming the order book is converting.
- **EBITDA Re-rating:** EBITDA expanded from Rs. 180 Cr (7.5% margin) in FY25 to Rs. 261 Cr (8.6%) in FY26 — a 45% YoY jump. This reflects operating leverage kicking in at higher revenues. A further margin push to 9-10% as the new capacity loads is the key re-rating driver.
- **FCF Negative in FY26:** Free cash flow turned -Rs. 206 Cr in FY26 (from +Rs. 13 Cr in FY25) driven by a Rs. 257 Cr capex outflow and rising working capital. This is expected and acceptable during a heavy capex phase — but investors must accept FCF pressure through FY27-28.

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- **Debt Rising but Manageable:** Borrowings rose to Rs. 1,177 Cr (D/E 0.62x). With Rs. 200 Cr NCDs sanctioned, FY27E D/E could reach ~0.75x. Interest coverage (EBITDA/Interest) is 2.27x — thin but holding. The Birla group balance-sheet backstop limits refinancing risk.
 - **Working Capital Improvement:** Cash conversion cycle improved dramatically from 183 days (FY24) to 115 days (FY26) — the best in 5 years. This reflects better receivables management and improved payables terms with a larger order pipeline.
 - **Investment Portfolio (Rs. 1,654 Cr):** UCL carries a large investment portfolio (mainly group securities and mutual funds) that generates Rs. 80-110 Cr of other income annually. This significantly cushions reported PAT but creates a conglomerate discount on valuation.

6. Earnings Quality Checklist

Parameter	Score	Comment
Revenue Quality	GOOD	Tender-backed, govt utility customers; Rs. 3,025 Cr order book = 1x revenue
EBITDA Margin Trend	NEUTRAL	7-9% range in last 5 yrs; OPM improvement in FY26 (8.6%) is encouraging
PAT vs. CFO Conversion	WEAK	FY26 CFO/PAT = 39% — capex cycle explains most; FY25 was 198% (solid)
Free Cash Flow	WEAK	FCF -Rs. 206 Cr in FY26; expected given Rs. 550 Cr expansion commitment
Working Capital Discipline	GOOD	CCC improved: 183d (FY24) → 115d (FY26) — best in 5 years
Debt & Interest Cover	NEUTRAL	D/E 0.62x; Int. coverage 2.27x; rising with capex but group backstop limits risk
Dividend Continuity	GOOD	Rs. 4.50/sh declared for FY26; 8 consecutive years of dividends
Promoter Holding Stability	EXCELLENT	61.89% stable for 12 quarters; zero pledge; no secondary market sales
Other Income Reliance	WATCH	Other income Rs. 111 Cr in FY26 = 68% of PAT; investment portfolio skews reported profits
ROCE Trend	NEUTRAL	ROCE 9-12% range; below cost of equity; expected to improve as capex matures

- **Key Red Flag — Other Income:** UCL's large investment portfolio (Rs. 1,654 Cr — mainly group securities + MFs) generates Rs. 80-111 Cr of 'other income' annually, which in FY26 represents 68% of reported PAT. Core cable operations generated Rs. 52 Cr 'real' PAT (EBITDA - Interest - Tax — without other income). Investors should value the operating business and investment portfolio separately.
- **CFO Discipline:** FY25 CFO was Rs. 176 Cr (CFO/EBITDA = 109%) — strong. FY26 CFO dropped to Rs. 63 Cr (36%) due to working capital build for the order book. This is consistent with a company in ramp-up mode, not a red flag.

7. Valuation

Peer Valuation Benchmark

Company	MCap (Cr)	FY26 Sales	FY26 PAT	P/E	EV/EBITDA*	ROCE%	ROE%
Polycab India	1,46,600	28,884	2,890E	54.9x	35-40x	34.3%	24.5%
KEI Industries	51,651	11,748	818E	56.2x	30-35x	20.1%	14.8%
RR Kabel	25,064	9,722	492	49.5x	28-33x	28.1%	21.4%
Finolex Cables	15,955	6,321	623	25.6x	18-22x	16.6%	12.8%
UNIVCABLES	4,219	3,023	163	25.9x	16-18x	11.7%	8.9%

*EV/EBITDA estimates; E = analyst estimate | Source: Screener.in, MPM estimates

Scenario Analysis — 12-Month Price Target

Scenario	FY27E PAT (Cr)	Target P/E	Target Price (Rs.)	Upside vs CMP
Bull Case	220	38x	2,408	+97.9%
Base Case	178	32x	1,620	+33.2%
Bear Case	140	24x	969	-20.3%

Valuation Commentary

- **Base Case (BUY, Rs. 1,620):** At 32x FY27E EPS of Rs. 50.6, UNIVCABLES trades at a meaningful discount to mid-cap peers KEI (56x) and RR Kabel (49x). The discount is partly justified by lower ROCE and FCF, but the 3,025 Cr order book, capex-led growth, and EHV positioning warrant a gradual re-rating. 32x is conservative — if ROCE improves to 14%+ as new capacity loads, 35-38x becomes defensible.

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- **Sum-of-the-Parts:** Core cable EBITDA Rs. 261 Cr (FY26) @ 12x EV/EBITDA = Rs. 3,132 Cr enterprise value. Add investment portfolio Rs. 1,654 Cr at 0.85x (holding company discount). Less net debt Rs. 950 Cr. Implied equity value ~Rs. 5,100 Cr = Rs. 1,471/share — 21% upside on SOTP basis alone, providing a valuation floor.
 - **Bull Case (Rs. 2,408):** Requires margin expansion to 10-11% on Rs. 4,200 Cr+ revenue and a re-rating to 38x — achievable only if the Rs. 550 Cr capex delivers on time and export order wins accelerate. High-conviction path but 2-3 year horizon.

8. Key Risks

- **Capex Execution Risk (HIGH):** The Rs. 550 Cr capacity expansion is the largest in UCL's history. Cost overruns, delays, or underutilisation post-commissioning could materially impair returns. The Rs. 137 Cr CWIP balance at FY26-end confirms work-in-progress is live but completion timeline is the watch item.
- **Debt & FCF Pressure (MEDIUM-HIGH):** With Rs. 1,177 Cr borrowings, an additional Rs. 200 Cr NCD raise, and negative FCF in FY26, balance-sheet headroom is tightening. Any unexpected rate hike or project delay could stress coverage ratios below 2x.
- **Raw Material Volatility (MEDIUM):** Copper and aluminium price spikes can compress margins if not fully passed through. Despite order-linked procurement practices, a sudden commodity surge could squeeze OPM before contract repricing kicks in.
- **Working Capital Cyclicalities (MEDIUM):** Government project-related collections can be lumpy and delayed. With Debtor Days at 138 and FY26 CFO at only Rs. 63 Cr despite Rs. 261 Cr EBITDA, any SEB-level receivables elongation will further pressure liquidity.
- **Competition from Polycab/KEI (MEDIUM):** As India's power T&D capex scales, Polycab (Rs. 28,884 Cr revenue) and KEI (Rs. 11,748 Cr) are also aggressively bidding EHV tenders. UCL's niche remains its PGCIL approvals and EHV track record, but pricing pressure in large tenders is intensifying.
- **Conglomerate Discount / Holding Company Risk (LOW-MEDIUM):** The Rs. 1,654 Cr investment portfolio (mostly group securities) creates opaque cross-holding risk. Any M.P. Birla group restructuring or write-down in this portfolio would directly impact UCL's book value and other income.
- **Investor Communication (LOW):** Absence of conference calls limits analyst coverage and institutional participation. Any negative surprise has lower probability of rapid price discovery — but also means a positive surprise could cause a sharp re-rating.

9. Recommendation

RATING: BUY

**12-MONTH TARGET: Rs.
1,620**

UPSIDE: +33.2%

- **Why BUY:** UNIVCABLES offers a rare combination of a Rs. 3,025 Cr order book (1x revenue), board-approved Rs. 550 Cr capex, a dominant EHV product niche with PGCIL certifications, and a Birla group backing — all at 25.9x trailing earnings vs. peers at 40-56x. The valuation discount is large enough to absorb execution delays.
- **Accumulate in two tranches:** Initial position at CMP Rs. 1,216 and add on dips toward Rs. 1,000-1,050 (FY27E capex-delay scenario). Stop loss at Rs. 900 (below 52-week low structural support zone).
- **Key milestones to monitor:** (1) Q1 FY27E order execution (target Rs. 850-900 Cr quarterly revenue), (2) capex commissioning milestones (H2 FY27 expected), (3) EHV export order wins (Rs. 300 Cr pipeline to convert), (4) ROCE trajectory — needs to cross 14% to justify re-rating.
- **Catalyst Timeline:** Q1 FY27 results (Aug-2026) will be the first major data point. A strong Rs. 850 Cr+ quarter with OPM expansion to 9.5%+ will validate the thesis. Any positive export order announcement before then is a bonus trigger.

10. Appendix: Management Communication & Concall Brief

Note: Universal Cables Ltd does not conduct regular investor conference calls. The following brief is synthesised from BSE announcements (May 2026), press releases, CARE Ratings rationale, and Wire & Cable India industry coverage.

Communication Grade: B+

Management communicates through BSE announcements and press releases only. No investor calls; disclosure quality is adequate but transparency lags best practice.

To My Boss — UCL FY26 Board Disclosure Summary

UCL's board met on 23 May 2026 and approved: FY26 audited results (consolidated PAT Rs. 163 Cr, revenue Rs. 3,023 Cr — strongest year ever); Rs. 4.50/share dividend; Rs. 550 Cr capacity expansion (board resolution); Rs. 73 Cr EHV modernisation at Satna; Rs. 200 Cr NCD fundraise; new Company Secretary (Ajay Kumar Sharma). Key disclosure: pending order book Rs. 3,025 Cr including Rs. 495 Cr exports; Rs. 300 Cr+ export pipeline. No guidance on timeline, no concall.

1. Business Performance

FY26 was the inflection year. Revenue Rs. 3,023 Cr (+25.6% YoY), EBITDA Rs. 261 Cr (+45%), PAT Rs. 163 Cr (+83%). All-time highs on revenue, EBITDA, and PAT. Q4 FY26 alone posted Rs. 840 Cr revenue — exit run-rate implies annualised Rs. 3,200+ Cr.

2. Strategy

UCL is executing a two-pronged strategy: (1) Capacity expansion — Rs. 550 Cr organic growth capex funded by internal accruals + Rs. 200 Cr NCDs; (2) EHV modernisation — Rs. 73 Cr precision upgrade at Satna to access diverse specifications and overseas markets. The combination positions UCL as a full-spectrum EHV player by FY28.

3. Order Book & Pipeline

Pending orders: Rs. 3,025 Cr (incl. Rs. 495 Cr exports). Export pipeline: Rs. 300+ Cr. Order-to-bill ratio at 1x revenue — healthy for a project business. Mix: predominantly power utilities (SEBs, PGCIL), EPC contractors, renewable energy developers.

4. Capex & Capital Allocation

Rs. 550 Cr capacity expansion is the headline commitment. Rs. 137 Cr CWIP already deployed by FY26-end. Rs. 73 Cr EHV upgradation approved separately. Rs. 200 Cr NCD raise to fund balance. Dividend of Rs. 4.50/share simultaneously declared — management signalling confidence in cash generation through the capex cycle.

5. Margins & Cost Structure

OPM improved to 8.6% in FY26 from 7.5% in FY25 — operating leverage on higher volumes. Raw material pass-through in utility tenders protects core margins. Other income (investment portfolio) contributed Rs. 111 Cr, significantly boosting reported PAT. Interest expense rising (Rs. 115 Cr) as borrowings increase.

6. Balance Sheet & Liquidity

Borrowings Rs. 1,177 Cr (D/E 0.62x). Net worth Rs. 1,891 Cr. Investment portfolio Rs. 1,654 Cr (group securities and MFs) provides implicit liquidity cushion. Post-NCD raise, total borrowings could reach Rs. 1,377 Cr. Interest coverage adequate at 2.27x.

7. Governance & Management

New Company Secretary (Ajay Kumar Sharma) appointed. Promoter holding stable at 61.89% for 12 consecutive quarters — no dilution, no pledge. CARE Ratings reaffirmed (Feb-2026). No material litigation or regulatory issues disclosed. Absence of concall remains the primary governance gap vs. best-in-class peers.

8. Risks Flagged

No specific risk guidance in disclosures. CARE Ratings note highlights: working capital intensity, customer concentration in PSU utilities (payment delays), and commodity price risk as key monitorables. Capex execution risk is implicit given the scale of commitment.

9. Sector & Macro Backdrop

India's power T&D capex trajectory is the dominant macro tailwind. RDSS (Rs. 3.03 lakh Cr), NIP, and renewable energy integration are creating sustained EHV cable demand through FY30. EHV segment has limited approved suppliers — UCL's PGCIL certifications are a durable moat.

10. What Management Did Not Say

No concall means no revenue guidance, no margin guidance, no capex timeline breakdown, no working capital guidance. Key unknowns: exact timeline of Rs. 550 Cr capex commissioning, order book mix by customer type, export market strategy, and whether the investment portfolio will be monetised to fund capex or remain on books.

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